CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ED9E302CF
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Drew Fossum <drew.fossum@enron.com>
Sent: Tue, 4 Jan 2000 04:29:00 -0800 (PST)
To: Louis Soldano <louis.soldano@enron.com>
Cc: Susan Scott <susan.scott@enron.com>
Subject: Re: PG&E Summary of events - 12/29/99 - Legal question

Lou, I agree with your legal analysis. Susan confirmed for me that the TW tariff has no specific PCB limit and I think your analysis is accurate on how FERC or the courts would react to the "toxic substances" language that is in there. Please go ahead and get back to Bill and report your conclusions, with my endorsement if that adds any value (perhaps the value of another neck in the noose). Also, it is worrysome that PG&E has an argument that any dollars they spend on Southwest must be reimbursed by TW under our agreement. They might feel free to pour money on Southwest to keep them happy, even if Southwest doesn't put much pressure on PG&E and as a customer relationship strategy , in the belief that it is Enron money they are playing with. Can we do anything to keep PG&E honest on this?

Given all of the above, is it our strategy to continue to manage this Southwest Gas problem as best we can as part of the broader PG&E problem?

12/30/99 11:23 AM
Louis Soldano
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12/30/99 11:23 AM
12/30/99 11:23 AM
To: Drew Fossum/ET&S/Enron@ENRON, Susan Scott/ET&S/Enron@ENRON
cc: Michel Nelson/ET&S/Enron@ENRON

Subject: Re: PG&E Summary of events - 12/29/99 - Legal question

Bill raises some good questions. I've been struggling with the "legal duty" question to SW Gas since we do not have a contract with SW - even PG&E does not have a contract with SW - PG&E's contract is with SoCal. Without the contractual duty or a tariff requirement (I don't believe our gas quality section would prohibit PCBs - even should they reach level that is regulated by the State of California or the EPA) that sends us back to common law duties/causes of action - such as trespass, nuisance, and ordinary negligence. Since PCBs are authorized by the EPA in natural gas pipelines at virtually any level as long as certain actions are taken I don't place much stock in the common law duties although the EPA's position would not be dispositive - merely heavily persuasive. Other than some type of weak third

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party beneficiary claim is there anything here???

---------- Forwarded by Louis Soldano/ET&S/Enron on 12/30/99 10:36 AM ----------

From: Bill Cordes 12/30/99 10:12 AM

To: Michel Nelson/ET&S/Enron@ENRON
cc: Phil Lowry/OTS/Enron@ENRON, Louis Soldano/ET&S/Enron@ENRON, Dave Schafer/ET&S/Enron@ENRON

Subject: Re: PG&E Summary of events - 12/29/99

I generally agree with the plan going forward, but before we finalize a SW Gas strategy, I want to know what our legal duties are to SW Gas if they find high PCB's. Is there an EPA requirement? Were any commitments made by TW to SW Gas in past years? Would they go after PG&E and, if so, would that fall under or commitment to PG&E to cover costs? Keep me in the loop and let's make sure we don't get any press on this until all facts are known and a communication plan is in place.

Bill

From: Michel Nelson 12/30/99 08:11 AM

To: Bill Cordes/ET&S/Enron@ENRON
cc: Phil Lowry/OTS/Enron@ENRON

Subject: PG&E Summary of events - 12/29/99

FYI

Once E&C has developed plans to contain PCB's on the PG&E system, we will have to get approval for new 2000 Work Orders. I'm just guessing, but we will likely incur expenses of $2 to $3 million. This will be for decon work, for filter/separators on their system at customer taps, and probably some big

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filter/separators downstream on their A & B Lines. I'll work to find the $ from within the 2000 approved Capital limits.
---------- Forwarded by Michel Nelson/ET&S/Enron on 12/30/99 08:01 AM ----------

12/29/99 07:03 PM
Louis Soldano
Louis Soldano
Louis Soldano
12/29/99 07:03 PM
12/29/99 07:03 PM
To: Michel Nelson/ET&S/Enron@ENRON, Steven Harris/ET&S/Enron@ENRON, Lorraine Lindberg/ET&S/Enron@ENRON, Jeffery Fawcett/ET&S/Enron@ENRON, Kevin Hyatt/ET&S/Enron@Enron, David Roensch/ET&S/Enron@Enron, Rich Jolly/ET&S/Enron@Enron, Larry Campbell/ET&S/Enron@Enron, Earl Chanley/ET&S/Enron@ENRON, Eric Thode/OTS/Enron@ENRON
cc:

Subject: PG&E Summary of events - 12/29/99

The following is an overview of the discussions that took place today and some excellent work by David and our field lads this evening:

Counsel for PG&E contacted Soldano to relay sampling results from last Friday testing on the line to SW Gas (five results- all in ug/100cm2) and all from internal surfaces on the equipment and short segment of pipe immediately upstream of the SW Gas line - ND, 2.4, 1,7, 5.7,2.5) and to let TW know that PG&E and SW personnel would be conducting further sampling today on the SW system not far from the Topock C/S. He was primarily calling to see how TW would respond to two questions that had not yet been posed but which may well come up soon - 1.) If SW Gas should request compensation/reimbursement for issues associated with PCBs what would be TW's response? and 2.) Would TW be interested in ensuring that PG&E and TW speak with as common a voice as possible and if so, how that might be accomplished. Neither question was answered but PG&E was assured that TW would continue to work as closely as possible with PG&E to resolve any issues. Possible joint phone conferences and meetings with SW were discussed including meeting tied to the planned meeting in Las Vegas on the 12th. PG&E also stated that they were ordering a small PECO F/S for the SW Gas take off line which they expected to be in the $20,000 to $30,000 range

Our internal discussion afterwards suggested that we wait to see the analytical results of today's testing (probably due back on Tuesday of next week) before committing to any costs coverage issues and that Kevin Hyatt and Lorraine Lindberg would follow-up with Rod Boschee on Thursday on the "one

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voice" issue. A meeting with SW Gas sometime around the 12th would likely be

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